Annex I. Public Debt Sustainability Assessment (DSA)

Bottom line: Sustainable.

Baseline

Consolidated public sector debt is expected to remain sustainable. It is projected to rise from 53.6 percent of GDP in 2019 to about 60.9 percent of GDP in 2020—spurred by the pandemic-related macroeconomic shock—but declining gradually to 55.7 percent of GDP by 2025. The GFN will remain somewhat elevated averaging 10.4 percent of GDP over the projection horizon.	The authorities are addressing the COVID-19 shock with additional temporary spending financed by expenditure reallocation and loans from IFIs. Despite the sharp deceleration in 2020 to -1.0 percent (y/y), medium-term prospects for the country's growth remain robust. Against the backdrop of a stable macroeconomic environment, growth is expected to converge to its potential of 5 percent from 2022 onwards. Headline inflation is expected to remain contained, at around 4 percent in the medium term, consistent with the BCRD target. The overall deficit of the consolidated public sector is projected to rise to 6 percent of GDP in 2020, before falling to 3.5 percent of GDP over the medium term. The medium-term fiscal path is assessed as realistic.

Stress Tests

The debt path maintains its downward trajectory in all standardized macro-fiscal stress tests except in the case of the combined macro-fiscal shock.	Debt is vulnerable to a growth shock (namely, a slow recovery in 2021–22), which would cause gross nominal public debt to rise in 2022 and remain above the baseline through the projection period.

Assumptions

The COVID-19 shock is expected to lead to negative growth in 2020Q2-Q3, with a recovery starting in 2020Q4. A sharp rise in the overall deficit of the consolidated public sector is projected for 2020.	The baseline growth projections are in line with the WEO assumptions, and fiscal assumptions are aligned with the authorities' views. A more protracted shock could weaken aggregate demand for longer, lower tax revenues and increase the fiscal deficit, widen the current account deficit by hampering tourism receipts, and consequently lower GDP growth.

Coverage and Contingent Liabilities

The definition of "public" debt is the debt of the consolidated public sector, which includes the quasi-fiscal balance of the central bank (BCRD) and fiscal operations of the public utility, social security institutions, functionally decentralized nonfinancial institutions, and municipalities in addition to the central government. Public sector debt accounts for contingent liabilities of these public entities.

Figure AI.1. Dominican Republic: Public Sector DSA – Baseline Scenario

(In percent of GDP unless otherwise indicated)

Debt, Economic and Market Indicators [1/]

	Actual			Projections						As of March 31, 2020		
	2009-2017 [2/]	2018	2019	2020	2021	2022	2023	2024	2025	Sovereign Spreads		
Nominal gross public debt	43.0	50.4	53.6	60.9	58.2	57.6	57.2	56.4	55.7	EMBIG (bp) 3/		621
Public gross financing needs	5.3	8.4	7.4	10.5	9.5	9.8	11.1	10.6	10.5	5Y CDS (bp)		n.a.
Net public debt	40.9	49.0	52.3	59.5	57.0	56.4	56.1	55.4	54.8			
Real GDP growth (in percent)	4.8	7.0	5.1	-1.0	4.0	5.0	5.0	5.0	5.0	Ratings	Foreign	Local
Inflation (GDP deflator, in percent)	4.7	4.1	2.5	3.5	3.6	4.0	4.0	4.0	4.0	Moody's	Ba3	Ba3
Nominal GDP growth (in percent)	9.7	11.4	7.7	2.5	7.7	9.2	9.2	9.2	9.2	S&Ps	BB-	BB-
Effective interest rate (in percent) [4/]	5.1	9.0	8.8	6.6	6.8	7.7	8.1	8.6	9.2	Fitch	BB-	BB-

Contribution to Changes in Public Debt

	Actual			Projections							
	2009-2017	2018	2019	2020	2021	2022	2023	2024	2025	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	1.7	1.5	3.1	7.3	-2.6	-0.7	-0.4	-0.8	-0.7	2.2	
Identified debt-creating flows	-0.4	-0.5	1.1	3.7	-0.8	-1.2	-1.2	-1.2	-0.8	-1.5	
Primary deficit	0.4	-0.4	-0.8	1.6	-0.2	-0.4	-0.6	-0.9	-0.9	-1.4	0.0
Primary (noninterest) revenue and gran	14.0	14.2	14.4	13.6	14.1	14.2	14.2	14.4	14.3	84.7	
Primary (noninterest) expenditure	14.4	13.7	13.6	15.1	13.9	13.8	13.6	13.5	13.5	83.3	
Automatic debt dynamics [5/]	-0.8	0.0	1.9	2.1	-0.6	-0.8	-0.6	-0.3	0.0	-0.1	
Interest rate/growth differential [6/]	-1.6	-1.0	0.5	2.1	-0.6	-0.8	-0.6	-0.3	0.0	-0.1	
Of which: real interest rate	0.3	2.0	2.9	1.6	1.7	1.9	2.1	2.3	2.6	12.2	
Of which: real GDP growth	-1.8	-3.1	-2.4	0.5	-2.3	-2.7	-2.6	-2.6	-2.6	-12.3	
Exchange rate depreciation [7/]	0.8	1.0	1.4	...	...	...	...	...	...	...	
Other identified debt-creating flows	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Residual, including asset changes [8/]	2.1	2.0	2.0	3.6	-1.9	0.5	0.8	0.5	0.2	3.7	

Source: IMF staff.

1/ Public sector is defined as Consolidated public sector.

2/ Based on available data.

3/ Long-term bond spread over German bonds.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r))/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

Figure AI.2. Dominican Republic: Public DSA Risk Assessment

Heat Map

Debt level [1/]	Real GDP Growth Shock	Primary Balance Shock	Real Interest Rate Shock	Exchange Rate Shock	Contingent Liability shock
Gross financing needs [2/]	Real GDP Growth Shock	Primary Balance Shock	Real Interest Rate Shock	Exchange Rate Shock	Contingent Liability Shock
Debt profile [3/]	Market Perception	External Financing Requirements	Change in the Share of Short-Term Debt	Public Debt Held by Non-Residents	Foreign Currency Debt

Source: IMF staff.

1/ The cell is highlighted in green if debt burden benchmark of 70% is not exceeded under the specific shock or baseline, yellow if exceeded under specific shock but not baseline, red if benchmark is exceeded under baseline, white if stress test is not relevant.

2/ The cell is highlighted in green if gross financing needs benchmark of 15% is not exceeded under the specific shock or baseline, yellow if exceeded under specific shock but not baseline, red if benchmark is exceeded under baseline, white if stress test is not relevant.

3/ The cell is highlighted in green if country value is less than the lower risk-assessment benchmark, red if country value exceeds the upper risk-assessment benchmark, yellow if country value is between the lower and upper risk-assessment benchmarks. If data are unavailable or indicator is not relevant, cell is white.
Lower and upper risk-assessment benchmarks are:

200 and 600 basis points for bond spreads; 5 and 15 percent of GDP for external financing requirement; 0.5 and 1 percent for change in the share of short-term debt; 15 and 45 percent for the public debt held by non-residents; and 20 and 60 percent for the share of foreign-currency denominated debt.